Godaddy Inc (GDDY) — Research Summary

Technology | Software - Infrastructure | 2026-10-21

Price: $108.22	**Signal:** BUY (7.58/10)	**Market:** bull_tech

GoDaddy Inc (GDDY) — Equity Research Summary

Sector: Technology (Software - Infrastructure) | **Price:** $108.22 | **Market Cap:** $13.8B

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1. COMPANY OVERVIEW & INVESTMENT THESIS

GoDaddy is the world's largest domain registrar and a leading provider of web hosting, website-building tools, and small-business commerce and marketing services. The company is interesting now because it has shifted from a pure growth story to a disciplined, profit-focused operation generating strong free cash flow — while actively repositioning itself around AI-powered tools for entrepreneurs, giving the stock a fresh narrative at a notably cheap forward valuation.

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2. FUNDAMENTAL SNAPSHOT

Valuation: GoDaddy trades at a trailing P/E of ~16x but a strikingly low forward P/E of ~8.7x, suggesting the market expects a meaningful jump in earnings power. EV/EBITDA sits near 11x (EV $14.9B / EBITDA $1.4B), and the stock trades at roughly 2.7x sales — reasonable for an infrastructure software name with durable recurring revenue. (Note: the P/B ratio is meaningless here due to minimal book equity after years of buybacks.)

Earnings Trend: The track record is strong. GoDaddy has beaten estimates in three of the last four quarters: +6.4% (Q2 '26), +5.3% (Q1 '26), and +13.9% (Q4 '25), with one miss of -7.4% in Q3 '25. The direction is positive and momentum into the next report looks favorable.

Revenue & Margins: Growth is modest — revenue rose just +1.9% year-over-year last quarter to $1.3B, with the prior quarter nearly flat (+0.1%). The story is profitability, not top-line: gross margin is a healthy ~63.8%, operating margin expanded to 27.1%, and net profit margin sits at 17.8%. This is a mature, high-margin, cash-generative business rather than a fast grower.

Balance Sheet: Net debt position — $3.8B total debt against $1.2B cash. Leverage is manageable given strong free cash flow (~$0.4B last quarter), but equity has been depleted by aggressive buybacks (~$0.5B repurchased recently).

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3. TECHNICAL OUTLOOK

Within its 52-week range of $71.59–$137.93, GoDaddy sits at $108.22 — roughly in the middle, having recovered well off its lows (up ~48% from trough levels per recent coverage). Momentum has been constructive, with the stock tracking the broader market higher over the past six months.

Key levels: Support sits near the low-$70s (52-week low zone) with nearer-term support around the $100 psychological level. Resistance lies near $137 (the 52-week high). The stock needs fresh catalysts to break meaningfully higher from its current mid-range position.

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4. NEWS & SENTIMENT

Overall Sentiment: Slightly Bullish

Three key themes dominate recent coverage:

- **AI positioning as the central debate.** GoDaddy is leaning hard into AI — expanding its developer platform with new APIs for AI agents, and partnering with Google, Cloudflare and Infoblox on secure AI-agent transaction standards. This is the core bull case.
- **AI as a double-edged sword.** RBC Capital Markets flagged that AI could also pressure GoDaddy's pricing and domain market share over time — a genuine risk to the long-term moat.
- **Valuation in focus.** Multiple commentators ask whether the stock remains a "bargain" despite its strong run, reflecting a market torn between cheap forward multiples and slow growth.

The prevailing narrative: a consistently profitable, cash-rich business trading at a discount, with its future hinging on whether AI becomes a tailwind (new tools and customers) or a headwind (commoditized domains and pricing pressure).

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5. BOTTOM LINE

- **Aerondight Systems Signal: BUY (7.58/10)**
- **Thesis:** A highly cash-generative small-business infrastructure leader trading at a cheap forward multiple, with AI adoption offering upside if execution delivers.
- **Key Catalyst:** Q3 2026 earnings on **October 29, 2026** — watch for guidance and AI-product traction.
- **Risk Level: Medium** — low revenue growth, meaningful debt, and AI-driven competitive uncertainty are offset by strong margins, consistent earnings beats, and an undemanding valuation.

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